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TCL Corp. | Asia Pacific

2Q26 Preliminary Net Profit Beat

Reaction to earnings

Unchanged

Impact to our thesis



Modest upside

Financial results versus consensus



Modest revision higher

Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

We view its 2Q26 preliminary net profit as a beat, but maintain our preference for BOE over TCL within the A-share panel space, given BOE's scale advantage, higher exposure to displays, and faster progress in glass core substrates.

Preliminary 1H26 results:

- TCL reported preliminary 1H26 net income of Rmb3,700-3,920mn (+96% to +108% YoY), recurring net profit of Rmb2,920-3,140mn (+87% to +101% YoY) and EPS of Rmb0.1779-0.1884 (+83% to +94% YoY).
- This implies 2Q26 net income of Rmb2,144-2,364mn (+38% to +52% QoQ/+146% to +171% YoY), with the midpoint Rmb2,254mn 22% above MSe of Rmb1,842mn (+18% QoQ/+111% YoY), but largely in line with the consensus of Rmb2,007mn (+39% QoQ/+148% YoY).
- Net profits for CSOT surpassed Rmb3,800mn in 1H26, implying 2Q26 earnings of Rmb1,950mn (5% QoQ/-2% YoY). Large size displays continued to grow in the premium segment and the pricing has been relatively stable amid supply side discipline. Meanwhile, mid size displays benefited from the ramp of the T9 fab. Lastly, small size OLED display remained under pressure.
- Its consolidated subsidiary TCL Zhonghuan reported preliminary 1H26 net loss of Rmb3,000-3,300mn (narrowed by 22-29% YoY). This implies 2Q26 net loss of Rmb1,353-1,653mn (narrowed by flat to 18% QoQ/29 to 42% YoY). The solar business stayed in oversupply, but it focused on improving efficiency and expanded overseas module shipment 4x vs. last year. The semiconductor material business Zhonghuan Advanced achieved Rmb3bn of revenue (+8% QoQ/+10% YoY), with shipments up 17% YoY, supported by capacity expansion and optimized product mix amid improving demand.

Our view:

- We expect TV panel prices to start trending down from 3Q26, as below-seasonal TV panel order momentum in 2H26 might soften the bargaining power of panel makers, though supply side discipline among major panel makers should prevent significant panel pricing declines.
- Among China panel makers, we still prefer BOE (000725.SZ; 1.8x P/B) over TCL (000100.SZ; 1.7x P/B), reflecting BOE's scale advantage, higher exposure to displays, and faster progress in glass core substrates.

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TCL Corp. (000100.SZ, 000100 CS)

Greater China Technology Hardware | China

Stock Rating

Industry View

Price target
Shr price, close (Jul 13, 2026)
52-Week Range
Sh out, dil, curr (mn)
Mkt cap, curr (mn)
EV, curr (mn)
Avg daily trading value (mn)

Equal-weight

In-Line

Rmb4.70
Rmb4.81
Rmb6.26-4.04
18,779
Rmb90,327.4
Rmb260,966.6
Rmb2,525

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Valuation Methodology and Risks

TCL Corp. (000100.SZ)

Base case, P/B to capture the stock's cyclical nature and align with our methodology for other panel makers in Greater China. We apply 1.7x 2026e P/B vs. its five-year range of 1.1x to 3.8x P/B, which we view as justified by our ROE estimates of 8% in 2025 and 11% in 2026, respectively.

Risks to Upside

- Less-intense competition in the industry
- Better improvement in AMOLED production yield
- More capacity shutdowns by existing players

Risks to Downside

- Worse-than-expected industry-wide ASP
- Lower production yield in G10.5 fab
- More TFT-LCD capacity additions

BOE Technology (000725.SZ)

Base case, P/B valuation, which we think better reflects BOE's intrinsic value in view of the industry's relatively cyclical nature and aligning with the methodology we use for other panel makers in Greater China. We view our target multiple of 2.5x 2026e P/B as reasonable given that we estimate ROE of 5-8% over 2026-28 vs. BOE's average of 1.1x P/B in 2023-25 with ROE of 2-4% during the same period.

Risks to Upside

- Better-than-expected industry-wide ASP
- Higher yield in G10.5 fab
- Faster-than-expected AMOLED ramp
- Faster progress on advanced packaging business

Risks to Downside

- Worse-than-expected industry-wide ASP
- Lower yield in G10.5 fab
- Slower-than-expected AMOLED ramp
- Slower progress on advanced packaging business

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

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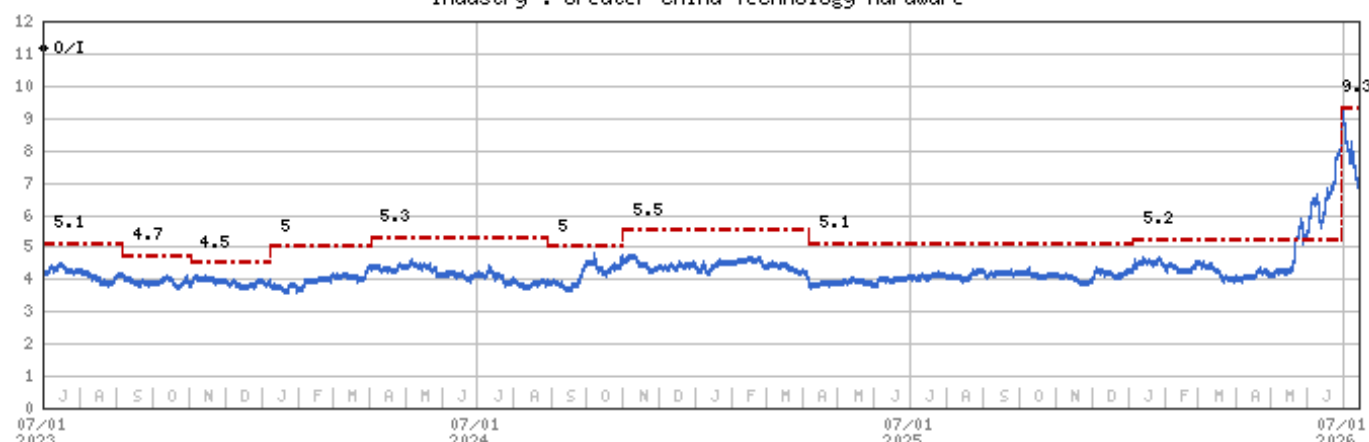
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Stock Price, Price Target and Rating History (See Rating Definitions)

BOE Technology (000725.SZ) - As of 07/14/26 GMT in CNY
Industry : Greater China Technology Hardware



Stock Rating History: 7/1/21 : 0/I

Price Target History: 6/18/21 : 7.7; 8/19/21 : 7.2; 8/31/21 : 7.7; 10/20/21 : 6; 11/5/21 : 6.3; 3/17/22 : 5.5; 4/29/22 : 5.3; 8/31/22 : 4.8; 10/4/22 : 4.5; 4/5/23 : 5.1; 9/6/23 : 4.7; 11/2/23 : 4.5; 1/6/24 : 5; 4/2/24 : 5.3; 8/29/24 : 5; 11/1/24 : 5.5; 4/7/25 : 5.1; 1/5/26 : 5.2; 6/30/26 : 9.3

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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TCL Corp. (000100.SZ) - As of 07/14/26 GMT in CNY
Industry : Greater China Technology Hardware



Stock Rating History: 7/1/21 : E/I; 11/27/24 : NA/I; 4/7/25 : E/I

Price Target History: 6/18/21 : 7.45; 10/20/21 : 6.09; 3/17/22 : 4.82; 4/29/22 : 4.27; 8/30/22 : 4.18; 10/4/22 : 3.64; 10/25/22 : 3.82; 4/3/23 : 4.18; 5/9/23 : 3.95; 9/5/23 : 3.9; 1/6/24 : 4.7; 8/28/24 : 4.2; 10/31/24 : 4.7; 11/27/24 : NA; 4/7/25 : 4.3; 9/2/25 : 4.6; 1/5/26 : 4.7

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/13/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$38.18
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb216.00
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$21.46
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.03
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb16.79
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb512.50
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT\$609.00
GoerTek Inc (002241.SZ)	U (04/23/2025)	Rmb21.82
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.28
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb33.19
Largan Precision (3008.TW)	O (07/10/2026)	NT\$4,345.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb6.19
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb13.64
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb58.98
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb8.79
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK\$6.50
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb52.30
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK\$30.38
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb64.43
Sunny Optical (2382.HK)	E (03/23/2026)	HK\$55.05
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb259.31
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb21.10
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$25.84
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb381.87
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	E (04/20/2023)	HK\$139.70
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb111.22
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb29.66
Zhongji Innolight Co Ltd (300308.SZ)	++	Rmb1,108.00
ZTE Corporation (0763.HK)	O (06/04/2026)	HK\$24.92
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb40.04
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$2,405.00
Advantech (2395.TW)	O (01/20/2021)	NT\$536.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$1,320.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$2,225.00
AU Optronics (2409.TW)	E (02/10/2026)	NT\$29.25
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$905.00
Bizlink (3665.TW)	O (03/10/2025)	NT\$1,865.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb6.83
Chenbro (8210.TW)	O (07/23/2025)	NT\$1,135.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$1,850.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$1,890.00
E Ink Holdings Inc. (8069.TWO)	O (05/11/2026)	NT\$196.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$60.90
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$1,410.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT\$332.00
Innolux (3481.TW)	E (04/07/2025)	NT\$61.00
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$8,080.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb39.53
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$222.00
Radiant Opto-Electronics Corporation (6176.TW)	E (03/01/2024)	NT\$90.00
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.81

Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb7.16
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb297.10
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$31.95
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT\$704.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT\$192.50
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$36.65
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK\$5.99
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb63.08
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT\$335.50
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$1,045.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$236.50
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb85.49
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT\$1,990.00
Lenovo (0992.HK)	O (07/10/2026)	HK\$23.30
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$1,980.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT\$1,270.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT\$82.60
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$378.00
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb134.45
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb393.59
Unimicron (3037.TW)	O (02/23/2026)	NT\$903.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$329.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$143.50
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT\$4,960.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT\$816.00
Zhen Ding (4958.TW)	O (05/18/2026)	NT\$646.00

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* Historical prices are not split adjusted.